

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

A-level

ECONOMICS

Paper 3 Economic principles and issues

Predicted Paper **Time allowed: 2 hours**

Materials

For this paper you must have:

- an AQA 16-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/3.
- Answer **ALL** questions.
- In Section A, for each multiple-choice question, select one answer from A, B, C or D.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 30 marks for Section A and 50 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 40 minutes on Section A and 80 minutes on Section B.

Predicted Paper — For revision purposes only [Set A — Moderate]

Section A

Answer all questions. Each question is worth 1 mark.

For each question, select the single best option: A, B, C or D.

Question 01

[1 mark]

Which one of the following is most likely to shift the demand curve for a normal good to the right?

- A A fall in the price of the good itself.
- B A rise in real incomes of consumers.
- C A rise in the cost of producing the good.
- D A fall in the price of a complementary good produced by another firm.

Question 02

[1 mark]

If the price elasticity of demand for a good is -0.4 , the good is best described as:

- A Perfectly inelastic in demand.
- B Inelastic in demand.
- C Unit elastic in demand.
- D Elastic in demand.

Question 03

[1 mark]

A floating exchange rate that depreciates is most likely to:

- A Reduce the sterling price of imports.
- B Reduce the foreign currency price of exports.
- C Improve the current account balance immediately.
- D Reduce cost-push inflationary pressure.

Question 04

[1 mark]

Quantitative easing is best described as:

- A A reduction in the Bank Rate.
- B A rise in the fiscal deficit.
- C The central bank purchasing financial assets to increase the money supply.
- D The central bank selling government bonds to tighten monetary policy.

Question 05

[1 mark]

Which one of the following best describes price discrimination?

- A Charging different prices to different consumers when the price differences reflect cost differences.
- B Charging different prices to different consumers when the price differences do not reflect cost differences.
- C Charging all consumers the same price.
- D Offering a discount to all consumers simultaneously.

Question 06**[1 mark]**

An economy operating inside its production possibility frontier indicates:

- A That there is full employment of resources.
- B That there is unemployment or underutilisation of resources.
- C That the economy is at its long-run growth potential.
- D That economic growth is at its maximum rate.

Question 07**[1 mark]**

Government failure is most likely to occur when:

- A Government intervention leads to a net improvement in economic welfare.
- B Private markets fail to allocate resources efficiently.
- C Government intervention leads to a net welfare loss.
- D Consumers have imperfect information about a product.

Question 08**[1 mark]**

An import tariff will most likely:

- A Raise consumer surplus and reduce producer surplus in the importing country.
- B Reduce consumer surplus and raise producer surplus in the importing country.
- C Increase total welfare in the importing country.
- D Have no effect on domestic prices.

Question 09**[1 mark]**

An increase in the natural rate of unemployment is most likely caused by:

- A A cyclical fall in aggregate demand.
- B A rise in structural unemployment due to skills mismatch.
- C An expansionary monetary policy.
- D A fall in inflation expectations.

Question 10**[1 mark]**

Which one of the following is most likely to reduce inequality of income?

- A A rise in regressive indirect taxation.
- B A cut in the higher rate of income tax.
- C An increase in progressive direct taxation combined with higher transfer payments.
- D A cut in unemployment benefits.

Question 11**[1 mark]**

A firm employs three factors of production: capital, land and labour. The table below shows how the firm's output is affected by changing the amount employed of these factor inputs.

Table 1

Units of output	Units of capital	Units of land	Labour (workers)
500	20	40	60
1,000	40	80	120
2,000	80	160	240
3,000	130	260	390
4,000	200	400	600

Based on Table 1, the firm experiences constant returns to scale when output increases from:

- A** 500 to 1,000 units.
- B** 1,000 to 2,000 units.
- C** 2,000 to 3,000 units.
- D** 3,000 to 4,000 units.

Question 12**[1 mark]**

The table below shows the total cost and total revenue for a firm at different output levels.

Table 2

Output (units)	Total Cost (£)	Total Revenue (£)
0	50	0
10	120	100
20	170	200
30	240	300
40	340	400
50	470	500

Based on Table 2, at which level of output does the firm maximise profit?

- A** 10 units.
- B** 20 units.
- C** 30 units.
- D** 40 units.

Question 13**[1 mark]**

The table below shows the index of real GDP per head for a country.

Table 3

Year	Index (2019 = 100)
2019	100.0
2020	90.0
2021	95.0
2022	100.0
2023	102.0
2024	104.0

Based on Table 3, the percentage change in real GDP per head between 2019 and 2024 was:

- A** +4.0%.
- B** +2.0%.
- C** +14.0%.
- D** -4.0%.

Question 14**[1 mark]**

The table below shows four possible distinctions between the terms 'invention' and 'innovation'.

Table 4

	Invention	Innovation
A	Applies to goods only	Applies to services only
B	Applies to services only	Applies to goods only
C	Discovering something entirely new	Turns the results of invention into a product
D	Turns innovation into a product	Discovering something entirely new

Based on Table 4, which combination correctly identifies the difference between the two terms?

- A** Option A.
- B** Option B.
- C** Option C.
- D** Option D.

Question 15**[1 mark]**

The table below shows selected economic data for four countries.

Table 5

Country	GDP growth (%)	Inflation (%)	Unemployment (%)	Current a/c (% GDP)
W	3.2	1.8	4.5	+1.2
X	0.5	6.4	8.1	−3.8
Y	2.1	2.0	5.2	−0.5
Z	−0.3	0.4	9.6	+4.1

Based on Table 5, which country is most likely experiencing a deflationary gap with significant spare capacity?

- A** Country W.
- B** Country X.
- C** Country Y.
- D** Country Z.

Question 16**[1 mark]**

The table below shows the marginal private cost (MPC), marginal social cost (MSC) and marginal social benefit (MSB) of producing palm oil at different output levels.

Table 6

Output (tonnes)	MPC (£)	MSC (£)	MSB (£)
100	40	55	80
200	50	70	70
300	60	85	60
400	70	100	50

Based on Table 6, the socially optimal level of palm oil output is:

- A** 100 tonnes.
- B** 200 tonnes.
- C** 300 tonnes.
- D** 400 tonnes.

Question 17**[1 mark]**

The table below shows the price and income elasticities of demand for three goods.

Table 7

Good	PED	YED	XED with B
A	-0.3	+2.1	+0.8
B	-1.8	+0.4	—
C	-0.6	-0.5	-1.2

Based on Table 7, which one of the following statements is correct?

- A** Good A is a luxury good and a substitute for Good B.
- B** Good B is inelastic in demand.
- C** Good C is a normal good and a complement to Good B.
- D** Good A and Good B are unrelated goods.

Question 18**[1 mark]**

The table below shows data for a monopolist at different price levels.

Table 8

Price (£)	Quantity	Total Rev. (£)	Marg. Rev. (£)	Marg. Cost (£)
20	10	200	—	4
18	20	360	16	6
16	30	480	12	8
14	40	560	8	10
12	50	600	4	12
10	60	600	0	16

Based on Table 8, the profit-maximising monopolist would produce between:

- A** 10 and 20 units.
- B** 20 and 30 units.
- C** 30 and 40 units.
- D** 40 and 50 units.

Question 19**[1 mark]**

The table below shows the percentage shares of income by quintile group for Country X before and after government intervention.

Table 9

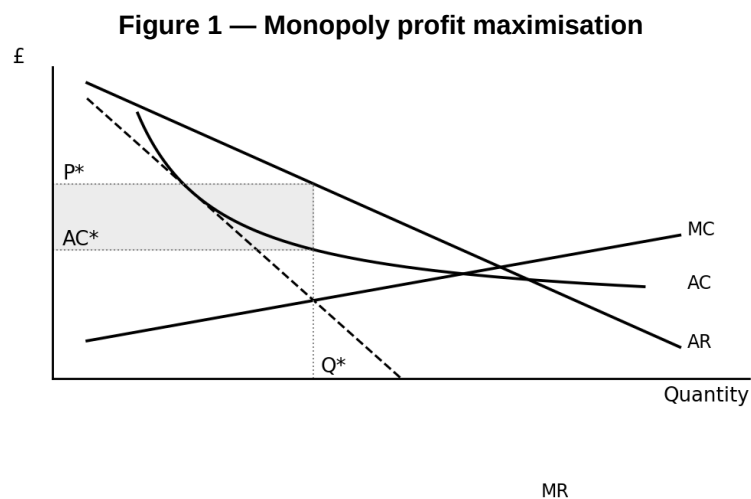
Quintile	Market income share (%)	Post-tax/transfer share (%)
Bottom 20%	2	8
Second 20%	8	13
Third 20%	16	18
Fourth 20%	26	24
Top 20%	48	37

Based on Table 9, which one of the following conclusions is correct?

- A** Government intervention has increased income inequality.
- B** Market income distribution is more equal than post-intervention distribution.
- C** Government taxes and transfers have reduced income inequality.
- D** The Gini coefficient after intervention is higher than before intervention.

Question 20**[1 mark]**

Figure 1 shows the cost and revenue curves for a profit-maximising monopolist.

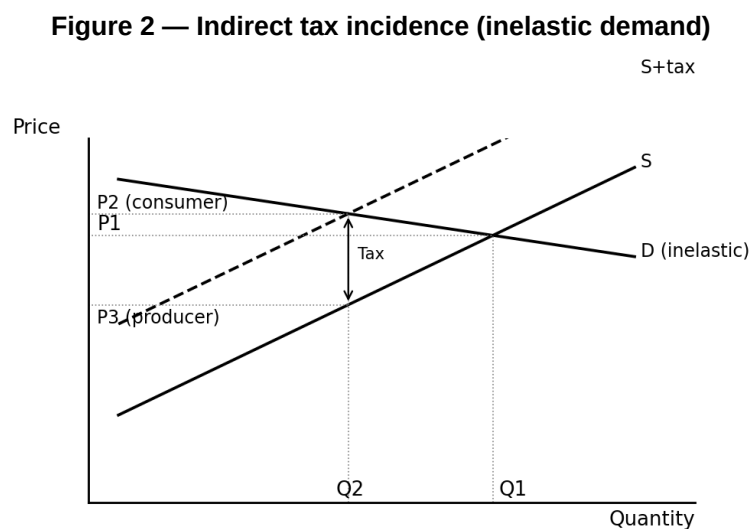


Based on Figure 1, the monopolist's profit-maximising output is determined where:

- A Average revenue equals average cost.
- B Marginal revenue equals marginal cost.
- C Average revenue equals marginal revenue.
- D Marginal cost equals average cost.

Question 21**[1 mark]**

Figure 2 shows the incidence of an indirect tax on a good with relatively inelastic demand.



Based on Figure 2, an indirect tax on a good with relatively inelastic demand will fall mainly on:

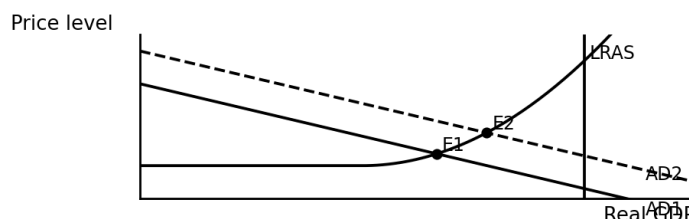
- A Producers, because they absorb most of the tax.
- B Consumers, because they bear most of the tax in higher prices.
- C The government, which loses revenue from the tax.
- D Foreign exporters, who reduce their prices.

Question 22**[1 mark]**

Figure 3 shows an economy with spare capacity experiencing an increase in aggregate demand.

Figure 3 — AD shift with spare capacity

SRAS



Based on Figure 3, an increase in aggregate demand from AD1 to AD2 when there is significant spare capacity will most likely:

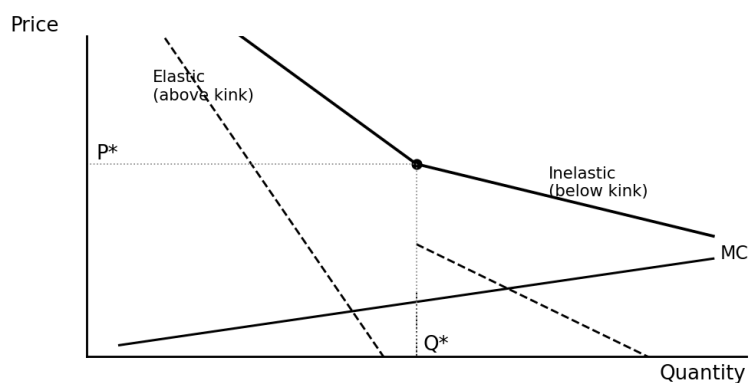
- A Raise the price level sharply but leave real GDP unchanged.
- B Raise real GDP substantially with little or no rise in the price level.
- C Leave both real GDP and the price level unchanged.
- D Cause stagflation in the short run.

Question 23**[1 mark]**

Figure 4 shows a kinked demand curve for a firm operating in an oligopolistic market.

Figure 4 — Kinked demand curve (oligopoly)

D

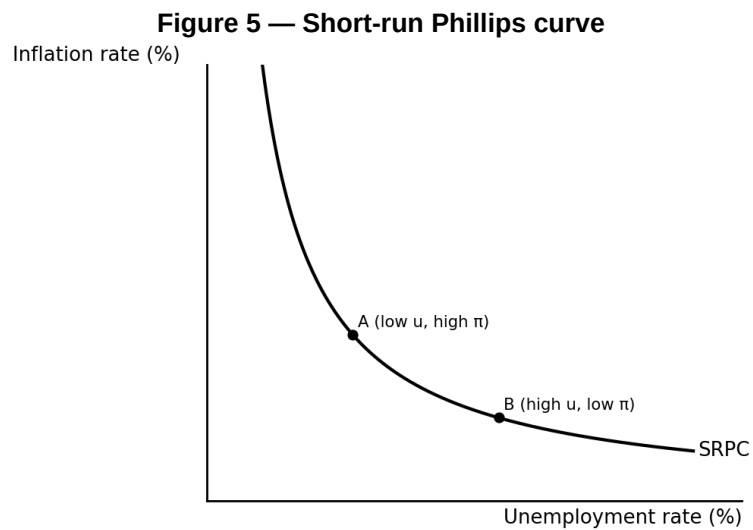


Based on Figure 4, which one of the following is a feature of the oligopolistic market shown?

- A Firms compete aggressively on price.
- B There is free entry and exit of firms.
- C Prices tend to be relatively stable because firms fear retaliation over price cuts.
- D Each firm faces a perfectly elastic demand curve.

Question 24**[1 mark]**

Figure 5 shows a short-run Phillips curve relationship between inflation and unemployment.



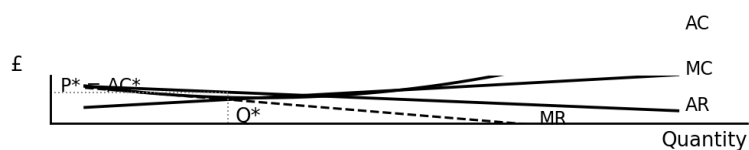
Based on Figure 5, which one of the following is most consistent with the short-run Phillips curve relationship?

- A** A rise in unemployment is associated with a rise in inflation.
- B** A fall in unemployment is associated with a rise in inflation.
- C** Inflation and unemployment are independent variables.
- D** A fall in unemployment is associated with a fall in inflation.

Question 25**[1 mark]**

Figure 6 shows the long-run equilibrium for a firm operating in monopolistic competition.

Figure 6 — Monopolistic competition: long-run equilibrium



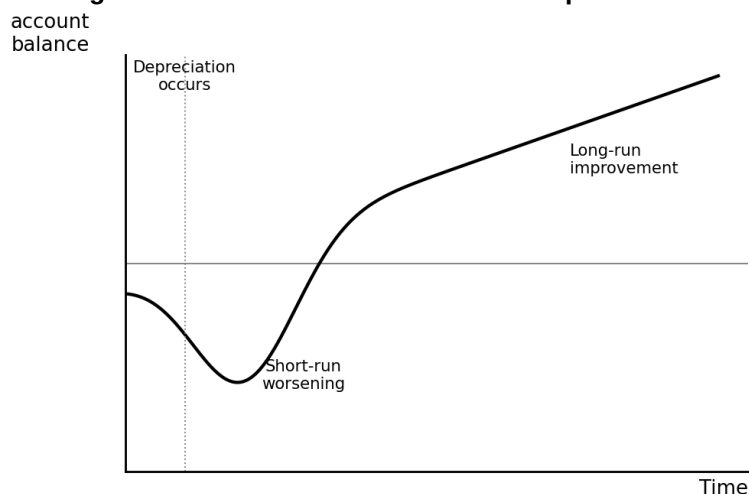
Based on Figure 6, in long-run equilibrium under monopolistic competition the firm earns:

- A** Supernormal profits.
- B** Subnormal profits.
- C** Only normal profits, because AR is tangent to AC at the profit-maximising output.
- D** Maximum profit at the minimum point of the AC curve.

Question 26**[1 mark]**

Figure 7 shows the path of the current account following a depreciation of the currency.

Figure 7 — The J-curve effect after a depreciation

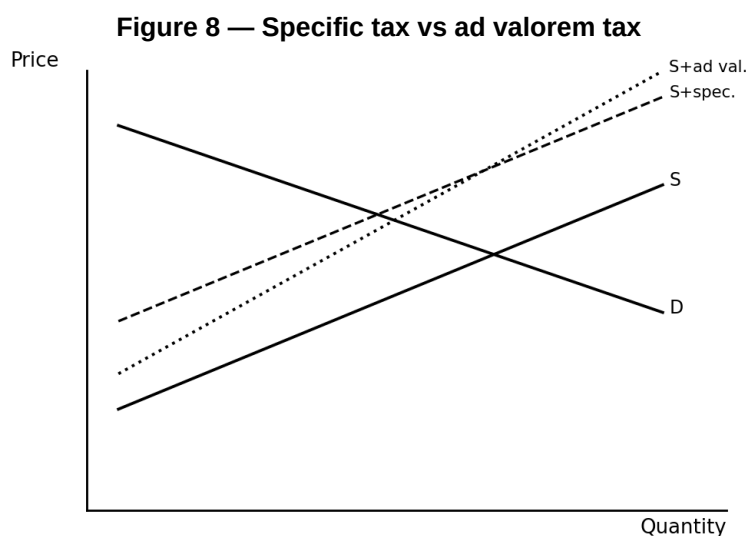


Based on Figure 7, the short-run worsening of the current account immediately after a depreciation is best explained by:

- A** Import and export volumes adjusting slowly, while import values rise immediately.
- B** Tariffs imposed by trading partners.
- C** The Marshall-Lerner condition being immediately satisfied.
- D** A reduction in domestic aggregate demand.

Question 27**[1 mark]**

Figure 8 compares a specific (per-unit) tax with an ad valorem (percentage) tax imposed on a good.

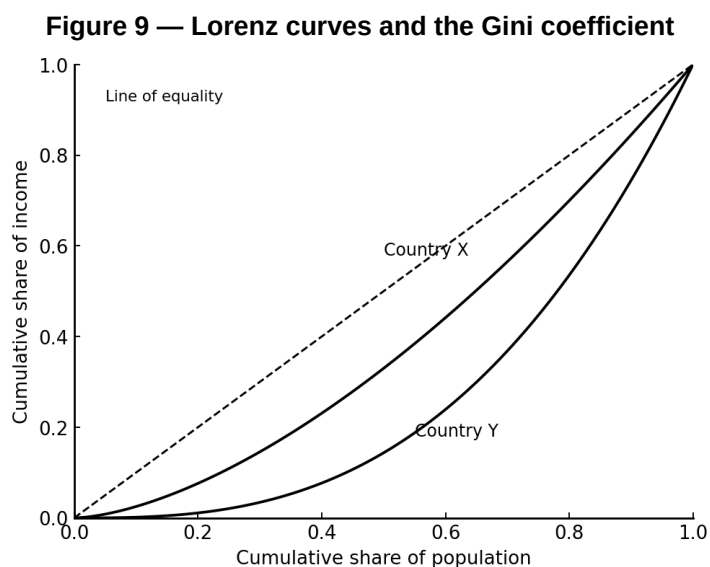


Based on Figure 8, which one of the following correctly contrasts a specific tax with an ad valorem tax?

- A** A specific tax shifts the supply curve by a constant amount; an ad valorem tax pivots the supply curve so that the tax rises with price.
- B** A specific tax always raises more revenue than an ad valorem tax.
- C** An ad valorem tax shifts the supply curve by a constant amount; a specific tax pivots it.
- D** Both taxes shift supply by exactly the same amount at every output.

Question 28**[1 mark]**

Figure 9 shows Lorenz curves for two countries, X and Y, along with the line of perfect equality.



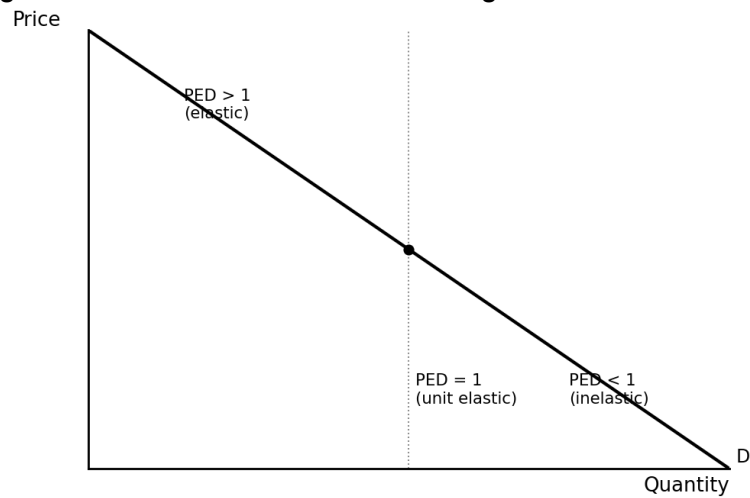
Based on Figure 9, which one of the following correctly describes the Gini coefficients of the two countries?

- A** Country X has a higher Gini coefficient than Country Y.
- B** Country Y has a higher Gini coefficient than Country X.
- C** Both countries have the same Gini coefficient.
- D** Neither country has any income inequality.

Question 29**[1 mark]**

Figure 10 shows a linear demand curve with the regions of price elastic, unit elastic and price inelastic demand marked.

Figure 10 — PED and total revenue along a linear demand curve

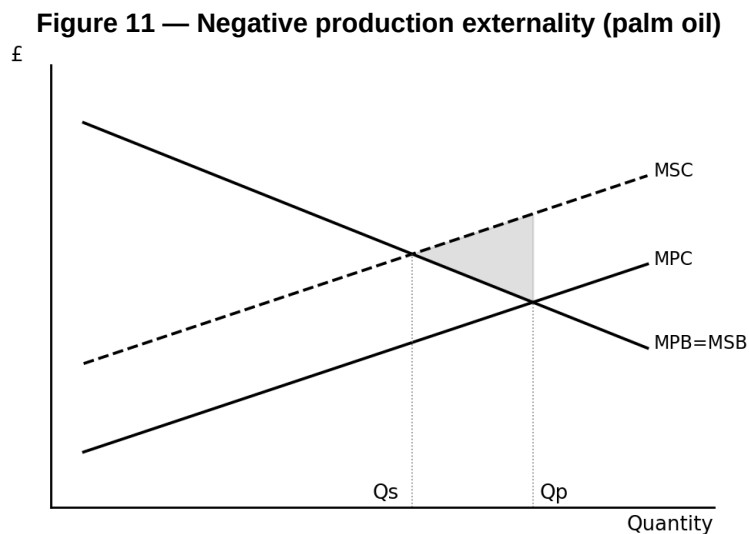


Based on Figure 10, if a firm currently prices in the inelastic region of demand, a small price rise will most likely:

- A** Reduce total revenue.
- B** Leave total revenue unchanged.
- C** Increase total revenue.
- D** Reduce the quantity demanded proportionally more than the price rise.

Question 30**[1 mark]**

Figure 11 shows a negative production externality associated with palm oil production. The marginal social cost (MSC) lies above the marginal private cost (MPC) by the marginal external cost. Demand is given by $MPB = MSB$.



Based on Figure 11, the deadweight welfare loss from palm oil production is represented by the triangular area between:

- A** MPC and MPB, between zero and Q_p .
- B** MSC and MPB, between Q_s and Q_p .
- C** MPC and MSC, between zero and Q_s .
- D** MPB and MSB, between Q_s and Q_p .

Section B

Answer all questions. Each question's marks are shown in brackets.

Study Extracts A, B, C and D, then answer Questions 31 to 33.

Case study: UK productivity, living standards and green infrastructure

Extract A: UK productivity and living standards, 2008–2024

Figure 12: Selected UK economic indicators (2008 = 100)

Year	Real GDP per capita	Output per hour (labour prod.)	Real median weekly earnings	Business investment (% of GDP)
2008	100.0	100.0	100.0	10.8
2014	97.3	101.2	94.0	10.4
2019	104.4	103.5	96.5	10.0
2024	104.1	104.8	100.4	9.6

Source: Office for National Statistics, 2024

Extract B: The UK productivity puzzle

UK labour productivity growth has averaged just 0.4% per year since the 2008 financial crisis, compared with around 2% per year in the preceding two decades. Output per hour in the UK in 2023 was approximately 16% below Germany's level and more than 20% below the United States'. Real median weekly earnings were roughly the same in 2024 as in 2008 — a 16-year stagnation unmatched in UK modern history. Business investment as a share of GDP has fallen from 10.8% to 9.6% over the same period. Economists have proposed multiple explanations: weak capital investment, skills shortages, policy uncertainty, the decline of North Sea oil, and the effects of Brexit on supply-chain efficiency.

Source: News reports, June 2024

Extract C: Regional inequality in the UK

The UK is one of the most regionally unequal advanced economies. In 2024, output per hour in London and the South East was comparable to that of Germany, while productivity in parts of northern England and Wales was below the UK average by 25%. Hourly wages in the lowest-paid regions are barely half those in the highest-paid. Levelling up — the government's stated ambition of reducing regional inequality — has made limited progress: a 2024 IFS report found that the productivity gap between London and the rest of the UK has widened since 2010, despite successive policy initiatives.

Causes of regional inequality include: historical concentration of high-productivity services in London; underinvestment in transport and digital infrastructure outside London; skills shortages in former industrial regions; and agglomeration effects that reinforce existing patterns. Microeconomic policies (local skills funding, planning reform, enterprise zones) and macroeconomic policies (public investment, monetary conditions) may both have roles in addressing the gap.

Source: News reports, October 2024

Extract D: Green infrastructure as a growth strategy

In 2024, the UK government announced a plan for £28bn of annual investment in green infrastructure over the rest of the decade — encompassing offshore wind, electricity grid upgrades, EV charging networks, hydrogen production, energy-efficient housing retrofits and nature restoration. Supporters argue that this investment will raise the UK's long-run potential output (via higher capital stock and R&D; spillovers), create high-quality jobs in regions currently suffering low productivity, and help the UK meet its net-zero target — delivering both climate policy and regional growth.

Critics warn of risks. The fiscal cost (at around 1% of GDP per year) would require either higher taxes, further borrowing, or reallocation of spending from other priorities. Public investment is vulnerable to government failure — delivery risks, cost overruns (as with HS2), and politically-motivated site selection. There is debate over whether investment should be directed by government (strategic industrial policy) or delivered through market mechanisms (carbon pricing, subsidies for private investment). Meanwhile, 70% of UK workers are employed in services, many of which would not directly benefit from green infrastructure.

Source: News reports, January 2025

- 3 1** Using the data in the Extracts, examine the extent to which weak productivity growth has constrained UK living standards since 2008. **[10 marks]**
- 3 2** Using Extracts A, B and C and your knowledge of economics, explain why microeconomic and macroeconomic policies may both be needed to address regional inequality in the UK. **[15 marks]**
- 3 3** Considering the information in Extract D and the original evidence in Extracts A, B and C, do you recommend that the UK government should prioritise large-scale public investment in green infrastructure as the central pillar of its growth strategy? Justify your recommendation. **[25 marks]**

END OF QUESTIONS